

INDUSTRIAL POLICY, 1991 REFORMS, PSUS AND DISINVESTMENT

INDUSTRIAL-POLICY CHRONOLOGY → LICENCE-TO-COMPETITION TRANSITION → REFORM-PACKAGE MAP → OWNERSHIP-CHANGE SPECTRUM → AIR INDIA STATUS CHAIN → NEW PSE POLICY MAP

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g5 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

00

STAGE 00 INDUSTRIAL-POLICY CHRONOLOGY

INDUSTRIAL-POLICY CHRONOLOGY

MIXED-ECONOMY ROLE

SCHEDULES A

C + COMMANDING HEIGHTS

MODERNISATION + SELECTIVE DELICENSING

SYSTEMIC DELICENSING + WIDER REFORM PACKAGE

MUST REMEMBER

INDUSTRIAL POLICY EVOLVED FROM LICENSING AND PUBLIC-SECTOR LEADERSHIP

1948 → mixed-economy role

1956 → Schedules A / B / C + commanding heights

1980s → modernisation + selective delicensing

1991 → systemic delicensing + wider reform package

MUST REMEMBER: Industrial policy evolved from licensing and public-sector leadership

CORE CLAIM

- 1948 → mixed-economy role
- 1956 → Schedules A / B / C + commanding heights

MECHANISM

- 1980s → modernisation + selective delicensing
- 1991 → systemic delicensing + wider reform package

CONSEQUENCE / LIMIT

- MUST REMEMBER: Industrial policy evolved from licensing and public-sector leadership...
- 1948 → mixed-economy role

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MUST REMEMBER: Industrial policy evolved from licensing and public-sector leadership.

01

STAGE 01 LICENCE-TO-COMPETITION TRANSITION

LICENCE-TO-COMPETITION TRANSITION

LICENCE RAJ

ENTRY + CAPACITY + LOCATION CONTROLS

WIDER FIRM CHOICE

PRODUCTIVITY PRESSURE

REGULATION REMAINS

STANDARDS + ENVIRONMENT + MARKET POWER

LICENCE RAJ → entry + capacity + location controls

DELICENSING → wider firm choice

COMPETITION → productivity pressure

REGULATION REMAINS → standards + environment + market power

CORE CLAIM

- LICENCE RAJ → entry + capacity + location controls
- DELICENSING → wider firm choice

MECHANISM

- COMPETITION → productivity pressure
- REGULATION REMAINS → standards + environment + market power

CONSEQUENCE / LIMIT

- LICENCE RAJ → entry + capacity + location controls
- DELICENSING → wider firm choice

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: REGULATION REMAINS → standards + environment + market power.

02

STAGE 02 REFORM-PACKAGE MAP

REFORM-PACKAGE MAP

INDUSTRIAL DELICENSING

TRADE OPENING

EXCHANGE-RATE REFORM

FINANCIAL REFORM

CONNECTED, NOT ISOLATED

INDUSTRIAL DELICENSING

TRADE OPENING

EXCHANGE-RATE REFORM

FINANCIAL REFORM → connected, not isolated

CORE CLAIM

- INDUSTRIAL DELICENSING
- TRADE OPENING

MECHANISM

- EXCHANGE-RATE REFORM
- FINANCIAL REFORM → connected, not isolated

CONSEQUENCE / LIMIT

- INDUSTRIAL DELICENSING
- TRADE OPENING

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EXCHANGE-RATE REFORM; FINANCIAL REFORM → connected, not isolated.

03

STAGE 03 OWNERSHIP-CHANGE SPECTRUM

OWNERSHIP-CHANGE SPECTRUM

MINORITY SALE

GOVERNMENT CONTROL RETAINED

STRATEGIC DISINVESTMENT

STAKE + MANAGEMENT CONTROL

CONTROL PASSES TO PRIVATE BUYER

SEPARATE RESTRUCTURING ROUTES

MINORITY SALE → government control retained

STRATEGIC DISINVESTMENT → stake + management control

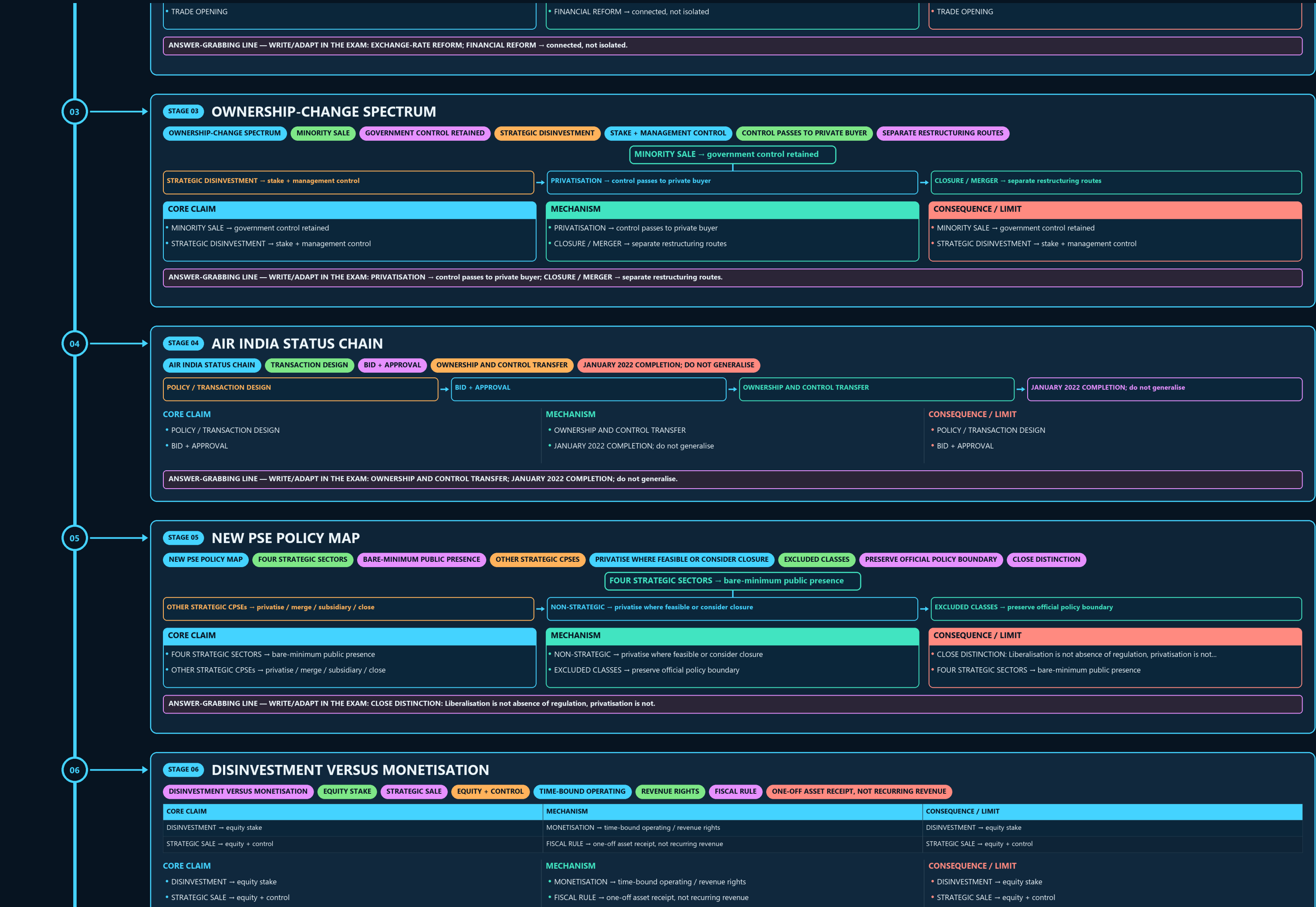
PRIVATISATION → control passes to private buyer

CLOSURE / MERGER → separate restructuring routes

CORE CLAIM

MECHANISM

CONSEQUENCE / LIMIT



ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Liberalisation is not absence of regulation, privatisation is not.

06

STAGE 06 DISINVESTMENT VERSUS MONETISATION

DISINVESTMENT VERSUS MONETISATION

EQUITY STAKE

STRATEGIC SALE

EQUITY + CONTROL

TIME-BOUND OPERATING

REVENUE RIGHTS

FISCAL RULE

ONE-OFF ASSET RECEIPT, NOT RECURRING REVENUE

CORE CLAIM

DISINVESTMENT → equity stake
STRATEGIC SALE → equity + control

MECHANISM

MONETISATION → time-bound operating / revenue rights
FISCAL RULE → one-off asset receipt, not recurring revenue

CONSEQUENCE / LIMIT

DISINVESTMENT → equity stake
STRATEGIC SALE → equity + control

CORE CLAIM

- DISINVESTMENT → equity stake
- STRATEGIC SALE → equity + control

MECHANISM

- MONETISATION → time-bound operating / revenue rights
- FISCAL RULE → one-off asset receipt, not recurring revenue

CONSEQUENCE / LIMIT

- DISINVESTMENT → equity stake
- STRATEGIC SALE → equity + control

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: FISCAL RULE → one-off asset receipt, not recurring revenue.

07

STAGE 07 PSU MANDATE BOARD

PSU MANDATE BOARD

COMMERCIAL GOAL

PUBLIC-SERVICE OBLIGATION

OWNERSHIP FUNCTION

REGULATOR FUNCTION

KEEP SEPARATE

COMMERCIAL GOAL

STRATEGIC / PUBLIC-SERVICE OBLIGATION

OWNERSHIP FUNCTION

REGULATOR FUNCTION → keep separate

CORE CLAIM

- COMMERCIAL GOAL
- STRATEGIC / PUBLIC-SERVICE OBLIGATION

MECHANISM

- OWNERSHIP FUNCTION
- REGULATOR FUNCTION → keep separate

CONSEQUENCE / LIMIT

- COMMERCIAL GOAL
- STRATEGIC / PUBLIC-SERVICE OBLIGATION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: STRATEGIC / PUBLIC-SERVICE OBLIGATION; OWNERSHIP FUNCTION; REGULATOR FUNCTION → keep separate.

08

STAGE 08 COMPETITION SAFEGUARD CHAIN

COMPETITION SAFEGUARD CHAIN

PRIVATISATION WITHOUT CONTESTABILITY

PRIVATE MARKET POWER

QUALITY RISK

NEED COMPETITION LAW + SECTOR REGULATION

PRIVATISATION WITHOUT CONTESTABILITY

PRIVATE MARKET POWER

PRICE / QUALITY RISK

NEED competition law + sector regulation

CORE CLAIM

- PRIVATISATION WITHOUT CONTESTABILITY
- PRIVATE MARKET POWER

MECHANISM

- PRICE / QUALITY RISK
- NEED competition law + sector regulation

CONSEQUENCE / LIMIT

- PRIVATISATION WITHOUT CONTESTABILITY
- PRIVATE MARKET POWER

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PRICE / QUALITY RISK; NEED competition law + sector regulation.

09

STAGE 09 PLAN-THRUST DISTINCTIONS

PLAN-THRUST DISTINCTIONS

SECOND PLAN

BASIC INDUSTRY

MODERNISATION + PRODUCTIVITY

TECHNOLOGY + EARLY DELICENSING

POST-1991 INDUSTRIAL + FINANCIAL REFORM

CORE CLAIM

SECOND PLAN → heavy / basic industry
SIXTH → modernisation + productivity

MECHANISM

SEVENTH → technology + early delicensing
EIGHTH → post-1991 industrial + financial reform

CONSEQUENCE / LIMIT

SECOND PLAN → heavy / basic industry
SIXTH → modernisation + productivity

CORE CLAIM

- SECOND PLAN → heavy / basic industry
- SIXTH → modernisation + productivity

MECHANISM

- SEVENTH → technology + early delicensing
- EIGHTH → post-1991 industrial + financial reform

CONSEQUENCE / LIMIT

- SECOND PLAN → heavy / basic industry
- SIXTH → modernisation + productivity

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SEVENTH → technology + early delicensing; EIGHTH → post-1991 industrial + financial reform.

09

STAGE 09 PLAN-THRUST DISTINCTIONS

PLAN-THRUST DISTINCTIONS SECOND PLAN BASIC INDUSTRY MODERNISATION + PRODUCTIVITY TECHNOLOGY + EARLY DELICENSING POST-1991 INDUSTRIAL + FINANCIAL REFORM

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
SECOND PLAN → heavy / basic industry	SEVENTH → technology + early delicensing	SECOND PLAN → heavy / basic industry
SIXTH → modernisation + productivity	EIGHTH → post-1991 industrial + financial reform	SIXTH → modernisation + productivity
CORE CLAIM • SECOND PLAN → heavy / basic industry • SIXTH → modernisation + productivity	MECHANISM • SEVENTH → technology + early delicensing • EIGHTH → post-1991 industrial + financial reform	CONSEQUENCE / LIMIT • SECOND PLAN → heavy / basic industry • SIXTH → modernisation + productivity

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SEVENTH → technology + early delicensing; EIGHTH → post-1991 industrial + financial reform.

10

STAGE 10 OBJECTIVE PYQ DISTINCTIONS

OBJECTIVE PYQ DISTINCTIONS REGULATORY OFFICE; CIL STATUTORY BOARD DUTY; NOT ORDINARY TAX SCHEDULES A/B/C 1956 VINTAGE ANSWER KEY NEVER INFER FROM ROUTING

CSR → statutory Board duty; not ordinary tax	SCHEDULES A/B/C → 1956 vintage	ANSWER KEY → never infer from routing
CORE CLAIM • CCO → regulatory office; CIL → producer • CSR → statutory Board duty; not ordinary tax	MECHANISM • SCHEDULES A/B/C → 1956 vintage • ANSWER KEY → never infer from routing	CONSEQUENCE / LIMIT • CCO → regulatory office; CIL → producer • CSR → statutory Board duty; not ordinary tax

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CSR → statutory Board duty; not ordinary tax.

11

STAGE 11 INDUSTRIAL-POLICY ANSWER SPINE

INDUSTRIAL-POLICY ANSWER SPINE TRACE CHRONOLOGY AND BINDING CONSTRAINT DISTINGUISH LICENSING, OWNERSHIP AND CONTROL TEST COMPETITION, CAPABILITY, JOBS AND REGIONS CONCLUDE WITH EXPLICIT MANDATES + REVIEW EVIDENCE LIMIT SEPARATE 1991 MEASURES BY LEGAL/EXECUTIVE

TRACE chronology and binding constraint

DISTINGUISH licensing, ownership and control

TEST competition, capability, jobs and regions

CONCLUDE with explicit mandates + review

EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Separate 1991 measures by legal/executive

CORE CLAIM

• TRACE chronology and binding constraint

• DISTINGUISH licensing, ownership and control

MECHANISM

• TEST competition, capability, jobs and regions

• CONCLUDE with explicit mandates + review

CONSEQUENCE / LIMIT

• EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Separate 1991 measures by legal/executive...

• TRACE chronology and binding constraint

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Separate 1991 measures by legal/executive.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT FIRST-GENERATION REFORMS IMPROVED PRODUCT MARKETS; LATER REFORMS FOCUS ON A PSU MANDATE SHOULD SEPARATE COMMERCIAL GOALS, EXPLICIT PUBLIC-SERVICE DISINVESTMENT VALUATION DEPENDS ON CONTROL PREMIUM, MARKET CONDITIONS, LIABILITIES STRATEGIC INDUSTRIAL POLICY NEEDS MEASURABLE SPILLOVERS AND SUNSET OR TRADE EXPOSURE RAISES COMPETITIVE PRESSURE BUT FIRMS NEED INFRASTRUCTURE THE RELEVANT CHOICE IS NOT STATE VERSUS MARKET, BUT DEPARTMENT FOR PROMOTION OF INDUSTRY AND INTERNAL TRADE

OPTIONAL SOURCE DEPTH • CAUTION: First-generation reforms improved product markets; later reforms focus on factors, • CAUTION: A PSU mandate should separate commercial goals, explicit public-service obligations and • CAUTION: Disinvestment valuation depends on control premium, market conditions, liabilities, • CAUTION: Strategic industrial policy needs measurable spillovers and sunset or review clauses to	ADVANCED DEBATE • CAUTION: Trade exposure raises competitive pressure but firms need infrastructure, finance and • CAUTION: The relevant choice is not state versus market, but which institution solves a specific • Department for Promotion of Industry and Internal Trade: coordinates industrial • Department of Public Enterprises: frames public-enterprise policy and performance	LEGACY / NUANCE • DIPAM: manages Union government disinvestment and asset-management transactions. • Competition Commission of India and sector regulators: preserve contestability after • CAUTION: A minority market sale broadens ownership but leaves management control with • CAUTION: A strategic sale transfers control and therefore changes incentives more deeply than a
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OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.